Intel: Watch / defer

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Committee ask: Maintain no position at the September 1, 2026 regular-session close of **$88.97**. Authorize monitoring and targeted diligence; do not authorize a purchase. Intended user: buy-side investment committee. Security: NASDAQ INTC common equity; USD; 12-24 month decision horizon.

A recovery is visible; the price requires much more

The model's conditional equity range is **$0-$15 per diluted-equivalent share**, with a base scenario of approximately **$4.50**. These are scenario outputs, not confidence bounds or a claim that the market is demonstrably wrong. The low case is a funding-failure/recapitalization case; its zero equity floor does not value liquidation recoveries or equity optionality. Material bridge estimates prevent an initiation-grade fair-value certification.

Intel reported Q2 revenue of $16.128bn and operating profit of $1.796bn. July guidance put Q3 revenue at $15.8-$16.8bn with 41% GAAP gross margin. The distinction is cash conversion: equipment spending, operating working capital and claims ahead of common equity absorb much of an operating recovery. Intel Q2 filing; July guidance.

Case	FY2031 revenue	FY2031 FCFF	WACC / g	Equity/share	TV / EV
Low	$67.21bn	$2.40bn	13.57% / 1.5%	$0.00	164.1%
Base	$80.23bn	$7.53bn	11.57% / 2.5%	$4.49	76.2%
High	$95.23bn	$12.00bn	10.57% / 3.0%	$15.21	80.8%

Base assumptions: $32.6bn H2 sales; 2027-2031 growth of 8%, 6%, 5%, 4%, 3%; gross margin rising from 41% to 46%; R&D declining from 22.5% to 20% of sales; $18bn annual cash capex. These are judgments. WACC is 11.57%: 4.79% dated Treasury, 1.50 judgment beta, 5% course ERP, 6.5% debt-cost assumption and market-equity weights. Base terminal growth is 2.5%; terminal value supplies 76.2% of EV.

Bridge: base EV $62.42bn, net claims adjustment $-38.82bn, common equity $23.60bn, divided by 5,257m diluted-equivalent shares. The adjustment includes excess cash, short-term and equity investments, debt, NCI and other claims. June balances are explicitly rolled to September with estimates. Escrow shares are counted as dilution, without a second derivative-liability deduction. NCI and investments use book proxies; the $5bn other-claims reserve is judgmental.

What the market and the other methods imply

Holding explicit cash flows, WACC, growth and bridge fixed, the reverse DCF needs **$79.77bn annual FCFF in 2032**, versus base **$7.71bn**. The corresponding EBIT margin is **129%** under fixed base revenue/reinvestment: that narrow terminal-only explanation is infeasible. This does not rule out a different revenue scale, strategic asset value or capital structure; it identifies what this forecast cannot explain.

AMD and NVIDIA are qualified processor-market peers, with different fabless/accelerator economics. Their dated annual-balance EV/sales references mechanically imply roughly **$224-$252** for Intel. Reject that as an intrinsic range: sales multiples suppress Intel's capex and margin burden and use lagged balances. Intel GAAP annual EPS is negative, so P/E is NM; peer P/E cannot repair it. No qualified whole-company transaction evidence is used. Do not average these methods.

Conditions, reversal and monitoring

Initiation gate: a price at least 25% below a subsequently supported base value, two reported quarters at or above 41% GAAP gross margin, positive cash generation after all equipment payments, and a reconciled current bridge/share count. Today's illustrative base would imply a price screen near $3.37, but the screen alone is insufficient to buy.

Downgrade watch to do not initiate if gross margins stay below 38% for two quarters, capex commitments lack funding, or cash/available investments cannot maintain a $5bn liquidity minimum. The low scenario produces a $5.21bn funding gap; it changes the action even though the accounting statements still reconcile. A $4bn annual capex overrun and a five-point margin setback are separately exposed in the application.

Monitor each earnings release: reported vs guidance revenue, margin, factory utilization/yields, equipment payments in both CF classifications, inventory days, financing/dilution and minority distributions. Escalate a foundry-control change because 241m contingent government warrants could become exercisable. Do not treat a price decline as evidence that manufacturing execution improved.

Evidence and validation

Model and source cutoff: September 1, 2026; work assembled October 19. Verified 12 published training outputs, historical statement/cash definitions, 21 forecast/bridge columns, WACC/g directions, EV-equity identities, invalid-input refusals and a byte-identical fresh-environment cold run. Financial inputs and full results are visible in output/report.html without running code. The remaining claims, dilution and allocation assumptions are substantive limitations, not test failures that can be waived.

Sources: Intel FY2025 10-K pp. 60-63, Q2 2026 10-Q pp. 3-7/Notes 3-5; AMD FY2025 and NVIDIA FY2026 releases/10-Ks; September 1 closing prices; Treasury yield curve. Exact locators and definitions: docs/evidence-ledger.md. Material Codex/GPT-6 assistance and tests: Validation-and-AI-Use.pdf. Student review and recorded defense remain required.